

STHO — Star Holdings

Component valuation breakdown | As of 2026-07-16 | Price \$9.24 | Status: evidence-blocked

Price	Book	Low	Base	High	Base upside
\$9.24	\$19.88	\$5.50	\$18.10	\$37.70	+95.9%
	54% below book	-40.5% vs price	+95.9% vs price	+308.0% vs price	12,081,333 shares

What this is

Star Holdings is a Nasdaq-listed wind-down of iStar legacy assets plus about 13.5 million Safehold (SAFE) shares. Value is a sum of parts: marked SAFE stake, monetizing loans and land, Magnolia / Asbury residual real estate, and cash, less senior debt and wind-down fees. Not an operating compounder.

Component schedule (\$ per share)

Component	Low	Base	High	Notes
Safehold Inc. equity stake (~13.525M shares)	\$13.00	\$18.50	\$28.00	Current SAFE ~\$16.93 → ~\$18.95/sh. High ≈ \$25 spin-day deal mark (rate path). Margin loan pledges shares.
MD&A; monetizing loans, AFS securities, land, other properties	\$3.50	\$5.30	\$6.50	MD&A;: loan \$16.1M + AFS \$38.2M + land \$14.4M + props \$2.7M. Lot sales above COS.
Magnolia Green and residual Asbury land / operating real estate	\$4.00	\$7.50	\$13.00	Residual L&D; + operating RE after monetizing slice. Magnolia lots selling; Asbury hotels unproven vs book.
Cash and restricted cash	\$5.00	\$5.10	\$5.10	Q1 cash \$46.4M + restricted \$15.7M.
Safe Credit Facility and Margin Loan Facility	(\$17.50)	(\$17.10)	(\$16.50)	Safe Credit \$115M @ 8% + Margin Loan \$92.8M SOFR+3.5%. Corrected from prior ~\$1.19 error.
External management fees, termination overhang, and sale friction	(\$2.50)	(\$1.40)	(\$0.40)	Fee \$7.5M this term; termination-fee cliff 2027-03-31. High assumes post-cliff contestability.
Zero-carry claims and entitlement surplus option	\$0.00	\$0.20	\$2.00	Zero-carry claims + entitlement surplus only; failure value \$0.
Total equity value / share	\$5.50	\$18.10	\$37.70	Sum of additive components

Base-case build-up (\$ per share)

Item	\$/sh	Running total
Safehold Inc. equity stake (~13.525M shares)	\$18.50	\$18.50
MD&A; monetizing loans, AFS securities, land, other properties	\$5.30	\$23.80
Magnolia Green and residual Asbury land / operating real estate	\$7.50	\$31.30
Cash and restricted cash	\$5.10	\$36.40
Safe Credit Facility and Margin Loan Facility	(\$17.10)	\$19.30
External management fees, termination overhang, and sale friction	(\$1.40)	\$17.90
Zero-carry claims and entitlement surplus option	\$0.20	\$18.10
Base equity value	\$18.10	vs price \$9.24 (+95.9%)

Key thesis checks

Point	Evaluation
SAFE ~\$25 deal mark	FACT: SAFE closed \$25.80 on 2023-03-31 spin/merger day. At ~13.5M shares ≈ \$28/STHO sh. Now ~32% below. Used in high case only.

Ground-lease duration	SAFE ~99-year leases (~91–92y W.A.). Rate-sensitive; lower rates support re-rating toward deal mark. Not baked into base.
RE book understated	Land/lot sales above COS (2025 +\$17.6M). Accum. dep. ~\$39M is a ceiling. Operating buildings not sold in 2025/2023.
Manager contestability	Termination-fee cliff 2027-03-31. H2 2026 is the practical RFP window. Not a free option today (~\$5M overhang).

Still open (keeps evidence-blocked)

- Exact SAFE share count (filing says “approximately 13.5 million”; we use 13,525,499 implied from \$183.0M / \$13.53).
- Numeric margin-loan LTV / collateral-posting triggers (not disclosed).
- Asset-level bids for Magnolia remaining lots and Asbury residual operating assets.
- Multi-year 2% GBV fee path and sale-tax friction (estimated).

Sources: STHO Form 10-Q (period ended 2026-03-31), Form 10-K (year ended 2025-12-31), 8-K Asbury deconsolidation (2026-03-27), Yahoo SAFE/STHO closes 2026-07-16. Detail: STHO/research/evidence_reconciliation_2026-07-16.md. This PDF is a research summary; not an IC freeze. Do not treat as decision-grade while evidence-blocked.